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Allianz Customer Centricity: Is Simplicity the Way Forward?

"It's very complex to be simple."

— Serge Raffard, group strategy, marketing, distribution officer at Allianz

On a cold morning in October 2018, Veit Stutz, the global head of business transformation at Allianz SE, entered through the revolving doors of the Allianz Munich corporate headquarters and hurried through the lobby. As he pushed the button and waited for the elevator to arrive, Stutz hoped that he could quickly catch up with chief business transformation officer Ivan de la Sota in order to finalize the preparations for a meeting scheduled the next day with CEO Oliver Bäte and the group strategy, marketing, distribution officer Serge Raffard.

Founded in 1890 in Germany, Allianz was one of the world's leading insurers and asset managers with 2017 revenues of €126 billion, 103 million retail and corporate customers in 70 countries, and a global workforce of 140,000 employees. It was one of only two insurers to rank amongst the world's 50 strongest brands in 2017—a sign that the company's recent customer-centricity approach drove value and resonated with clients. Not only did the company use customer feedback to improve products and services; Allianz also strove to increase satisfaction in every customer touchpoint, from first contact and purchase to managing contracts and handling claims. Taking pride in its customer-oriented strategy, Allianz had set itself a goal to become a top 25 brand by 2025.

But how would Allianz be able to do so while simultaneously growing its business? Would the company be able to embrace customer needs within and across markets without increasing its operational costs? While most rivals had opted for hyper-personalization—offering customers tailored offers and pricing that suited their individual interests, Stutz, Raffard, de la Sota and Bäte all believed that they could win with a focus on simplicity—reducing the complexity of products and processes to create a more unified customer experience. A first proof-of-concept in the retail business in Spain had proved successful. But would such an approach work out in other Allianz markets? Would simplicity enable Allianz to roll out its customer-centric strategy across the group on a larger scale?

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Company Background

Established in Berlin in 1890, Allianz historically sold transport and accident insurance policies in Germany. The company opened its first international branch in the U.K. in 1893, and later expanded to Belgium, the Balkans, France, Italy, the Netherlands, Scandinavia, and the U.S. By the 1920s, Allianz dominated the German insurance industry as the firm acquired a number of specialist companies, simplified its work processes, and branched out into different classes of insurances, including property, motor, and life policies. World War II then had a major impact on Allianz's development. Its head office in Berlin was bombed. Foreign assets were confiscated, and business relationships terminated. Allianz was bankrupt. The company moved its operations to Munich after the war left the country divided. The company went through a second phase of internal rationalization, gradually reopened its foreign business network, and eventually regained its leading position in the German insurance market.

After a period of steady growth, internationalization became once again a priority. In the 1980s, the firm made a series of acquisitions in countries such as Argentina, Australia, Brazil, France, Germany, Greece, Italy, Spain, and the U.S. Allianz then entered Eastern Europe and Asian markets. "Back in the late 1990s, we were looking at a huge portfolio of companies which were not Allianz branded, which we then invited to come under the Allianz brand roof," explained Christian Deuringer, Allianz's global head of brand. "What has not happened in its entirety was really a consolidation and a harmonization of business models... Our local CEOs have been appreciating a level of freedom to do what they think they could do best." In the early 2000s, the company expanded into asset management and banking, becoming a global financial services provider with a full range of insurance and banking products.

By 2018, Allianz was one of the world's largest insurers and asset managers with 103 million retail and corporate customers. With 140,000 employees worldwide, Allianz SE achieved a total revenue of €126 billion and an operating income of €11 billion in 2017. That same year, net income amounted to €7.2 billion. The Allianz brand, which stood for "quality, expertise, trust, and reliability," resonated with clients worldwide. According to Interbrand, Allianz's brand value was the second highest of all globally operating insurers in 2017. The Allianz brand also came 49th across categories in the 2017 Interbrand best global brands ranking. The company's ambition was to reach the top 25 brands by 2025.

On the insurance side, Allianz offered a wide range of products ranging from property, life, and health policies to assistance services, credit insurance, and global business insurance. (See **Exhibits 1 and 2**.) Life and health insurance represented 56% of the premium volume, with property and casualty insurance making up the remaining 44%. (See **Exhibit 3** for KPIs.) Geographically, Allianz was present in 70 markets. Income originated mostly from Western Europe and North America.

This large scale was not achieved without challenges. To succeed, Allianz had to increase its agility, rethink siloed operations, and redesign long-entrenched processes as the firm grew, moved into new markets, and broadened its offering to reach new customers. "We are a federalist governance construction, in which every operating entity has its own legacy systems, legacy product portfolios, marketing, partners, and partner networks. In my view that works actually quite well because it helps you spread the risk," Stutz explained. "We were always very good at leveling out underperformance on one side with outperformance on the other side. But we never collaborate on product development between countries. We are missing out on the power and the potential that we have."

Oliver Bäte became Group CEO in May 2015, a role held by only nine other men in the German insurer's 128-year history. A German native, Bäte studied business administration, took up an apprenticeship in banking, served with the German air force, before moving to consultancy McKinsey. He only joined Allianz in 2008, rising quickly through the ranks first as COO, then CFO, before taking control over insurance for the Western and Southern European region. Deuringer reflected on the

change in leadership style, “Oliver [Bäte] took over and really challenged that traditional paradigm of how we ran the ship, moving a bit more from a financial holding to a strategic holding and then to a management holding. We now apply much more consistency in how we want to run the business.”

As soon as Bäte made it to the top position, he was determined to set a new course for the company. “Under no circumstances can we continue on as in the past decades,” Bäte said at the time, referring to the complex challenges facing the industry—from increased competition to technological advancement, and changing customer behaviors. Bäte’s strategy, dubbed the “Renewal Agenda”, focused on five goals: digitalization, technical excellence, growth, employee motivation, and true customer centricity. “To provide the best service possible,” Bäte said. “A service that meets [customers] where they are, whenever they want, and goes beyond the traditional set of products.”

The Insurance Market

The basic concept of insurance was that a large number of people who had similar risks pooled together their resources to make sure that the few people who experienced a loss were financially protected. Two parties were generally involved. The insurance company guaranteed payment for the type of loss stipulated in the legal contract (or “policy”), such as an accident, theft, or a serious illness. Meanwhile, the insured made regular, smaller payments (or “premiums”) in exchange for that future protection. An insurance policy could cover a number of risks, including life, home, car, travel, business, and valuables, among other things.

As an industry, insurance was often regarded as a conservative and relatively slow-growing sector.¹ Insurers often operated on a 65-70% loss ratio for property and accident; in other words, 65-70 cents of every euro in premium payments were expected to be paid out in claims. The remaining 30-35% covered acquisition and administration costs and provided the insurer with a profit. The ratio for healthcare policies tended to be between 80% and 85%. Profit margins were critical for companies to survive. “Margins are really the problem in our industry. Increasing margin is very difficult; losing margin goes very fast,” said Thomas Wegmann, head of market management and member of the board of management of Allianz Switzerland.

The industry operated in a highly regulated environment with complex rules, which impacted the way insurance was priced, packaged, and sold. The essential objectives of these regulations were twofold: to ensure that insurance firms were solvent to deliver on their promises, and to guarantee that insurers treated consumers fairly. The environment changed continuously as regulations were amended and adopted. This was further complicated by the heterogeneity of local practices as different regions and countries tailored regulations to their own needs. Deuringer confirmed, “Insurance financial regulation is different from market to market, even within Europe.” Insurance penetration—gross written premiums as a percentage of the area’s gross domestic product—and amount spent in premiums (per capita) also varied significantly across countries. (See **Exhibit 4** for industry data.)

Marketing, Sales, and Distribution

There were numerous ways in which insurance products (such as motor, property, life, and health policies) could be marketed, sold, and distributed. A number of middlemen were usually involved. Captive agents, for instance, were only allowed to sell products of a single insurer. Multi-tied agents could only recommend a limited selection of insurance products from certain firms, which were pre-selected by their organization. Independent advisors and brokers helped consumers select the most appropriate product from a range of competing offers. Unlike agents, however, they acted on behalf and in the interest of the consumers (rather than the insurers). These intermediaries were usually

compensated by a fee for placement of the insurance policy. They were often approached by the most affluent and conservative customers who required advice-based, face-to-face financial planning.

Given the latest technological developments, however, alternative distribution channels also sprang up, allowing direct sales of insurance policies (by phone, mail, and the internet). These direct channels were usually targeted at customers whose financial needs were more straightforward. Transactions were carried out either by the insurers themselves or by other sales partners such as price comparison websites, also known as aggregators. In 2018, McKinsey estimated that almost half of online insurance in Europe was sold via aggregators.² However, there were large differences between countries. “In the UK, you can hardly afford not to partner with an aggregator if you want to grow,” Deuringer said. “In other markets like Germany, we are in a position in which we can strategically choose to use them or not. In markets like Italy and Spain, aggregators are playing a much smaller role. Our conviction is that if we have a strong brand, we should not rely on aggregators because they are eating up our margins.”

The distribution channel mix varied across countries and activities, reflecting local market dynamics and consumer preferences. (See **Exhibit 5** for details.) While the industry was still dominated by agents and brokers, direct channels increasingly gained share. “[Insurance] selling is gradually transforming from ‘push’ to ‘pull,’” Raffard noted. “Instead of pushing products towards customers through door-to-door agents like it was done in the past, most insurers often chose to target the right consumers at the right time and pull them towards a product instead.” The insurance business was also quite sticky. As Raffard put it, “There are categories of insurance (e.g., motor) and countries (e.g., UK) with higher switch rate but overall, the churn rate is relatively limited in the majority of products and categories.”

Customer Claims

Reporting a claim was a key customer touchpoint in the aftermath of a personal injury, the theft of a personal item, damage to property, or the loss of a loved one. Studies showed that policyholders only made a claim every seven years on average; yet they paid their premiums regularly.³ Claims formed a critical moment of truth—the point when customers realized whether their insurance policy actually delivered the expected value. In 2014, research from consulting firm Accenture showed that 41% of policyholders who said they were satisfied with the way their claim was handled still reported they were likely to switch to another insurer in the next 12 months. “The results clearly show that delivering average claims satisfaction levels is not enough,” the report said.⁴ The findings also suggested that the speed of settlement and process transparency were critical for customer loyalty.

Yet, claims management was known to be a cumbersome, labor-intensive, and time-consuming process for insurers, as it often required to coordinate multiple intermediaries (e.g. the insured, the agent, the other party’s insurer, experts, plumbers, etc.). With the development of new technologies such as artificial intelligence (AI), blockchain, and machine learning, insurers were exploring whether parts of the claims process could be automated to provide a more seamless experience.

The Competitive Environment

Insurance markets were very competitive. As the Zurich insurance company put it, “Barriers to entry are low, and it is comparatively easy to set up a small insurance company [...] Insurance products are rather generic in nature and easy to imitate. That’s why [...] insurers might be said to be caught in a commodity trap.”⁵ Products like car insurance for instance tended to sell based on price, resulting in squeezed margins for insurers. Differentiation was thus critical. To limit large losses in one particular region or activity, insurers spread their exposure across geographies and over a number of unrelated

risks. Scale economies were, however, difficult to observe in the industry. Raffard commented, “The larger the companies are and the more countries they are in, the higher their cost of operations.”

Despite the presence of large groups in a number of countries, the insurance sector was populated by many competitors with 3,400 active players in Europe in 2017.⁶ The insurance market was mainly comprised of traditional insurers. These were established players who benefited from a loyal customer base, a trusted brand and hard-won reputation, access to a significant amount of customer data, strong operations, and the investment power to enter new markets and launch new products and services. In 2017, Europe’s top insurance companies were France’s Axa and Germany’s Allianz—two diversified players with life and health, property and casualty, and financial services divisions. Other significant companies included Italy’s Generali, Switzerland’s Zurich, and the UK’s Prudential, most of whom were present in multiple markets and targeted similar types of customers as Allianz. (See **Exhibit 6**.)

The Rise of New Players

The internet had also given rise to a new generation of players. These new entrants were often small startups with simple business models, narrow areas of focus, modern technical capabilities, and an agile culture. They were often referred to as “insurtech”—a broad category of companies using technology to disrupt the insurance industry. Initially, these newcomers concentrated in the property and casualty segment, and targeted the distribution side of the business, for example, facilitating product comparison, or simplifying the purchasing process. Yet, they were increasingly diversifying—disrupting other areas of the insurance industry such as product development, pricing, and claims.⁷

While two thirds of insurtech players were niche businesses which aimed to integrate with incumbents, others strove to become full-stack digital insurers—allowing customers to do everything online, from obtaining quotes to completing policy purchases, submitting claims, and renewing policies in record times. Lemonade, a U.S.-based company, was a pioneer in that segment. Founded in 2015, it offered home insurance policies to digitally savvy people who had basic coverage needs. Lemonade’s model was completely digitized as it relied on AI-powered chatbots to walk the customers through the various touchpoints—keeping the overhead costs lean and premiums low.⁸ A significant percentage of claims were paid with no human involved.⁹ In 2017, Allianz invested in Lemonade to keep up with emerging technologies; it viewed Lemonade as a partner rather than a competitor. Other digital-only players had similar models like Guevara in the UK and Friendsurance in Germany.

Raffard reflected on these new competitors, “It would take forever for them to get to our scale. We learn from them. But you have to spend so much money to build a brand, to establish the trust. Their business plan is to build fast. Often, a big player takes over because the new competitors’ growth rapidly plateaus. They realize how complex it is to bring simplicity to multiple lines or to be present in multiple countries.” Others were worried about these recent changes. Global head of customer experience and insights Ullrich Vögele said, “Can we compete with them in the long run? We can say they are small, and it would take years for them to get as big as us. But nowadays owning the interface with the customer is the most important asset in this game, so the risk is much bigger. If we lose the access and we are not up to date with our customer needs, it will be difficult for us to stay relevant.” Raffard added, “I am more worried about large scalable digital platforms with large customer base and data set like Google and Amazon.”

“True Customer Centricity” at Allianz

Since Bäte’s appointment as CEO, true customer centricity had become one of Allianz’ key strategic goals. “Loyal customers are our goal as it means happy customers and in turns better profits”

Wegmann said. Allianz's main objective was to build a detailed view of the customer to better understand needs, map pain points in the journey, and prioritize actions—collecting and analyzing data to bring customer orientation to a new level. These goals were reflected in the company's KPIs.

Like many other insurers, Allianz's financial metrics focused on operating profit and net income across all business segments. At the group level, Allianz also developed an indicator to properly assess the value of a customer. The firm first determined the present value of the expected cash flows for each insurance product—taking into account the premiums paid by the policyholder, as well as the expected costs, the churn probability, and the discount rate to incorporate the time value of money into the customer value formula. Churn was calculated by segments, taking into account the age of the customer, product type, number of products held, and tenure of the customer relationship. Allianz also tracked the total number of customers and policies (including new and lost) per line of business and distribution channel in order to monitor metrics such as retention rates and revenue per customer across the different markets and channels. (See **Exhibit 7** for more details.)

The company also reviewed non-financial performance indicators on a regular basis, such as diversity development, the share of digital retail products and digital client communication, as well as the net promoter score (NPS®). "We were one of the first global financial service providers who introduced NPS back in 2005 to better understand the health of our customer base," said Vögele.

NPS and Customer Voices

NPS was a customer loyalty measurement taken from asking customers how likely they were to recommend a product or service to others on a scale of zero to ten. This method allowed firms to sort customers into one of three groups: promoters, passives, and detractors. The NPS score was calculated by subtracting the percentage of detractors from the percentage of promoters. In 2017, 60% of Allianz businesses had a NPS above market average. The target was to achieve 75%+ by 2021.

Allianz used two approaches to collect the NPS. The top-down or relationship score focused on the company's overall positioning against market peers. In that method, the data was collected by a third-party company periodically, usually once a year. Allianz compared its NPS relative to that of its biggest competitors per market and business segment. "We benchmark ourselves in our local markets against minimum five other players. In total, the competitor set (Allianz included) needs to cover at least 50% of the local insurance market. Otherwise, it's not a market representative study," Vögele said. The data focused mainly on four key indicators which drove the customer willingness to recommend: the brand, price, product, and quality of service.

In addition to the top-down score, Allianz had launched the "Voice of Customer" program in 2018. This method entailed surveying customers immediately after the customer had a contact with an Allianz representative, and also following up with a second in-depth interview to find out why a customer would or would not recommend Allianz. Every step of the customer journey was under scrutiny: sales and onboarding, communication (excluding advertising), issue resolution and contract management, claims, as well as renewals and cancellations. The goal was to roll out the "Voice of Customer" program in 21 countries by 2020 and 41 countries by 2021.

"The customer feedback, which is collected digitally immediately after a transaction using a five-star rating triggers a sort of case management system. According to our predefined standards, we should follow up with customers giving us three stars or less to fix their problems," Vögele said. "We also use these insights to continuously improve our service performance and offerings. That's a huge step forward for us to have full and almost real-time transparency on where we can improve. The fact that we not only collect feedback but also close the loop with our customers is highly appreciated by

them. It also helps us to drive a customer-centric culture and mindset and has led to a real positive buzz for our frontline staff as we luckily get a lot of very positive customer feedback too.” Raffard added, “And if 10,000 people tell you that your service sucks, it’s better than any internal meeting.” Dashboards with live customer feedback were accessible to all Allianz employees. If there was a pattern to the problems that were repeated frequently, relevant changes were made to the customer journey.

Practical Difficulties in Becoming Truly Customer Centric

Despite the competitive landscape, Allianz had some major strengths compared to its peers. The German insurer was recognized for its strong institutional reputation, powerful distribution network, vast presence around the world, rich client database, technical expertise, high policy retention, efficient sales culture, and heavy investment in marketing. But was it sufficient to stay ahead of competition and preserve its market leadership position in the years to come? If the goal was for Allianz to become more customer-centric while minimizing cost and maximizing efficiency, the firm would have to rethink three important elements of its business model: products, processes, and distribution.

A Complex Set of Products

A number of internal and external studies indicated that Allianz offered too many products and variants, adding unnecessary complexity to its diverse portfolio as a result. It was reported that the Italian subsidiary, for instance, had a collection of 777 products, 16 of which were on sale while the rest was legacy. One reason for that product proliferation was that Allianz had become increasingly complex as a result of its long history, track record of acquisitions, local product design, the market demand for custom products, and the way products were sold across different channels. The CEO of Allianz Italy, Giacomo Campora, explained, “The company in Italy has its roots in the 18th century Austro-Hungarian empire and it is now part of a multinational group. We had a vast legacy and until recently, we didn’t have a clear, simple picture of how many products we had in our portfolio.”

In the industry, the trend was generally to opt for more customization in order to form personal relationships with customers, cultivate trust, and drive more sales. As de la Sota put it, the objective for Allianz thus far was to “fulfill as many client requests as possible and gain business by bending our products to different customer groups [...] making sure that every wish of the customer was taken care of in terms of clauses, adds-on, and services. There was this belief that every customer wanted to pick and choose. People were acting in good faith thinking: the more variety, the more selection we can offer to customers, then the more customer centric we are as an organization.”

Some senior managers acknowledged that this product complexity was somewhat inherent to the company culture in a group which valued precision solutions and detailed pricing. “Allianz is a European company, a multinational and global company, with a German identity at our core, and here technical engineering matters,” Campora said.

Recent studies and surveys, however, suggested that a complex product portfolio didn’t necessarily drive additional business value. In fact, customers complained about complexity. (See **Exhibit 8** for customer perceptions.) Stutz explained, “People are tired of not knowing what they get. They have hundreds of documents. They can’t even decide what to do because they have a hundred different options to choose from.” This was especially true for the online sales channel where customers typically made decisions without seeking comprehensive advice. Wegmann confirmed, “In the direct market, it makes a lot of sense to reduce the choice. If there is too much choice, nobody will buy anything.”

The company management was increasingly aware that the product catalog was a pain point in the customer journey. Katja de la Vina, CFO of Allianz Germany, added, “Products need to be intuitive and without negative surprises for our customers. We don’t want to have countless product generations at the same time anymore.” Dr. Birgit König, CEO of Allianz Digital Health, added, “How shall we ever be able to coordinate pricing or underwriting at the global level if every unit has its own product designs and coverage limitations?” Allianz had, however, not yet acted on it. With Bäte at the helm of the company, this was about to change. A study had recently been commissioned to show the level of similarity that consumers needed in terms of products. It turned out that 90% of the motor product features that were the most valuable to consumers were exactly the same across France, Germany, and Italy, Allianz’s three biggest markets. (See **Exhibit 9** for additional data on product commonalities.) “Then what is the point of having numerous product variations?” Vögele wondered.

An Outdated IT Infrastructure

According to some, Allianz also relied on a number of obsolete IT systems that were too old to meet the current demands of the organization. As Allianz had grown via acquisitions, the IT backend had not followed suit. This—in addition to the product complexity—had left the company with redundant systems that drove up the cost of maintenance and hindered the implementation of standards in digital technologies required to develop products, assess claims, and provide a seamless customer experience. It was estimated that each local subsidiary had up to hundreds of different systems in place. “It is an operational nightmare, and it isn’t viable economically to maintain such a complexity,” Vögele said.

Campora reflected on the original system architecture used by Allianz across geographies, “In the recent past, the group did try to build a common architecture, but as soon as the blueprint IT platform was created, practical constraints led each interested operating entity to make some fine-tuning, resulting in incremental changes.” He added, “At the same time, two large geographical areas (Ibero-Latam and my country, Italy) were allowed to run two different platforms. In Italy, we reflected that if Allianz opted to embrace a brand-new system, this may give our country the possibility of contributing actively to a new group approach with the benefit of having no recent legacy investments to amortize.”

Developing a brand-new platform would indeed facilitate a more digital and customer-centric strategy. As digitalization accelerated, it was key to rely on smooth processes and have access to fresh, relevant, and comparable data. “The issue we have today is not related to the amount of data that we have; it is about the harmonization of data,” noted Jose Luis Ferre, the CEO of Allianz Spain. Overhauling its core IT systems and eliminating complexities in data architecture was thus critical.

The Disruption in Distribution Channels

To stay ahead of competition, Allianz not only needed to develop excellent products and services; the group also had to deliver them to the end customer through an efficient distribution network. While an increasing number of customers could imagine buying an insurance product online (See **Exhibit 10**), traditional distributors such as agents and brokers remained the preferred choice. Many people continued to choose at least at some point of the customer journey to interact with an intermediary. “Maybe it’s the sensation that the agent took the time to fit the product to their need,” Wegmann explained. “If customers have that impression, they won’t change [product] because they would run the risk that it doesn’t fit anymore. I don’t say that all agents are doing that well; it’s not always true. But we really need to think about what makes customers sticky [before we implement some changes].”

With the increased adoption of the internet and new technologies, customers often gathered information on products through direct channels and then purchased policies from traditional channels. The insurance industry thus had to embrace a multi-channel approach, which combined the

best of both worlds. Allianz experienced this trend first-hand. While the Netherlands was a market where the direct channel was predominant, Italy tended to work with multi-agents, Germany with captive agents, and the UK with direct channels and brokers. Managing such a hybrid network and the complexity associated with cross-channel collaboration was not without challenges.

As the increased presence of direct channels had agents worried, it was also critical to establish a relationship of trust with the intermediaries and find a way to motivate them. This was even more important as Allianz often didn't own the distribution network and as a result, agencies were essential to the relationship with clients. With such a setup, it was not easy for Allianz to push new products and services if the buy-in was not skillfully secured. "One needs to push new ideas and innovative products, but if you overdo it, people won't follow suit. And if the distribution is not buying into the idea, then the clients are not very likely buyers of the products," Campora said.

Designing A New Plan: A Change in Strategy?

In November 2018, Bäte was supposed to provide an update to analysts and institutional investors on the group's strategy and targets. He and his team had been working on a new plan to achieve customer satisfaction above market average or ahead of rivals. With the heat of technological advancements and an increasingly digitally literate audience, Allianz realized that customer expectations were changing. De la Sota explained, "Our customers expect us to be transparent, they want to understand what they are insured against, and they need easy and prompt access to the company. None of the traditional insurers has been responsive to these changes in customer needs. Everyone continue to be complex, just adding components. We are also confronted with that."

A number of executives at Allianz believed that in order to adapt to the evolving environment, differentiate itself from its market peers, and become more profitable in the long term, Allianz needed to go through a simplification, harmonization, and legacy reduction process to be "more than just the sum of the parts" and "more than just a conglomerate." Raffard advocated for "a core that was super simple for scalability across countries;" de la Sota imagined "a common business model end-to-end on one platform, injecting analytics and artificial intelligence in it." For all, the idea was to "have few – but distinct – master products and master processes on one single master IT platform." Bäte was a promoter of that approach as he wanted to rationalize the business in the spirit of efficiency.

The Spanish subsidiary had been a promoter of the simplicity approach for years. In fact, it was one of the only countries in the Allianz network which had already implemented that strategy. "There is a strong correlation between complexity and expense ratio. In Spain, we only have one product per business line. By being simple, we have a lower expense ratio than our competitors," de la Sota noted. Ferre added, "We can translate part of that productivity in the price of our policies. This is a virtuous cycle. We are efficient. We have no personalization. Our customers can only choose from three packages per product: a simple version, a more comprehensive one, and an expensive one. That's all." Convinced by the efficiency of this approach, de la Sota kept refining the model while it was being transferred to countries like Brazil, Colombia, and Portugal. "At first, the implementation in Brazil was difficult and the project organization was not onboard," de la Sota said. "Then, we strengthened the local leadership and brought in experts from Spain and within two years the new model was a success."

These first proofs of concept had created an enormous momentum within the firm. In September 2018, Bäte created a new division of Allianz – under de la Sota's leadership – which included a business transformation office led by Stutz. A German native, Stutz had joined Allianz in 2001 and had held various positions within the company, including deputy CEO in Russia before taking over as CEO for Allianz Poland. Anticipating a potential internal resistance, Bäte had recommended a former CEO for

this position. With a mandate from the top and resources to keep the project afloat, Stutz's ambition was to work collaboratively with people on the ground to see what needed to change and come up with a more common global framework. He said, "Before I started, I said: Let's make it an inclusive exercise, because in my view, if we do this top-down, it will break before we even start; no one will accept the holding to request that we implement the Spanish model."

From Thousands of Products to Three

Stutz wanted to go one step at a time. Before looking into the IT architecture and the distribution channels, he first wanted to prioritize the design of an optimal, simple product for retail customers. His idea was to start the process by creating "a taxonomy of all the insurance risks, [...] the risks that we cover, how we call them in different countries, what are the different sums insured, what are the clauses and exclusions that we allow." He then imagined the product as a set of Lego parts which could be combined according to customer needs. He explained, "We would tell our salespeople and agents: from now on, if the client wants a basic motor product, you should take the yellow brick. If the client wants something more comprehensive, add the red brick to it. If the client wants the premium version, that's the yellow, the red, and the green. For some time, you can add the blue brick too, but that's it."

As a second step, Stutz wanted to explore how a simpler product would eventually affect the customer journey. He explained, "What would that mean in terms of customer frontend? How would the screens need to look like? How would a claim be run, so that we could automate it?" He would eventually design a number of master processes from the customer's first contact to the claims resolution, and hand that over to IT, so that they could build a common platform for use in all countries.

"A Coalition of Enemies"

While the idea looked good on paper, Stutz wondered whether it would work in a real-world environment. One month into his appointment, many people were already resisting the change. Stutz said, "I am confronted with a coalition of enemies. Several markets are hostile. There is no common ground. Some are absolutely unwilling to accept anything coming from the holding."

A number of concerns had been raised. First, the business was flourishing, prompting some to wonder why the management was so keen on rocking the boat and endangering a stable situation. De la Sota explained, "If you see that Allianz has been increasing its operating profit year by year, things look quite smooth. So, there is no immediate sense of urgency. We are so big, so successful, so profitable that we don't necessarily think that we need to fundamentally reshape our business model." Other justifications were offered. Stutz said, "People said that agents might not like it, we needed to work with consumer protection laws, we needed to check our regulatory position, we might not be competitive enough anymore, we also needed to link it to the pricing environment. We got the usual concerns, which I fully acknowledge. Surprisingly, I think that most of these elements can be solved."

Others considered the risk of a negative customer response, even when for most the change was unquestionably positive. Campora reflected on how to tackle the simplest issues, "Can you have standardized product components that are the same everywhere? This is something intellectually fascinating and practically challenging; it has no precedent, it is unproven. We already have a good business and improving on it isn't easy; there is a duty to challenge any new concept in a fair way; we need robust proof-of-concepts. When you look at other industries, product differentiation is often considered distinctive." Wegmann worried that there was not sufficient evidence for the simplicity approach, "I'm quite convinced that the design of the product has some influence but it's not a game changing thing. [...] Changing all the policies takes a lot of time. And you still don't have the feeling of simplicity. I'm sorry, but an insurance contract remains complex no matter what."

Vögele was in favor of reducing the complexity, but he wanted to do it for the right reasons, and he worried about the consequences, should the plan fail. “My biggest watchout is that we focus too much on efficiency gains and miss out on our customer needs, which are the reasons for our being. It would be counterproductive to roll out a standard which is not starting off from the customer needs. It would be difficult to turn back the time.”

Simplifying the product offering also meant a clear trade-off. Not all amongst the thousands of existing and possible clauses could be maintained and tailored to specific customer needs. “We need to manage our legacy though. If customers are already insured with us against hunting risks for instance—maybe that’s 100 clients out of a million—can we or should we unilaterally tell them ‘Sorry, you’re not insured for that anymore?’ A promise is a promise, and as long as the contract lasts, we cannot renege on it: we have to find a way forward to optimize the constraints; otherwise, we would lose trust in our brand, and with it, clients and money,” Campora thought. Would this move to new products indeed have an impact on the churn rate? How many people would be affected?

As a former CEO himself, Stutz understood the skepticism but wanted to avert the cycle of doubt before it took hold. He was aware that the preoccupations were also linked to power struggles in an organization that had always been quite decentralized. As Stutz put it, “You have very strong country CEOs that take pride in strongly delivering locally on top and bottom lines. Their target has been to make it to the number one position in their country. A program like this comes with risks, uncertainties, and you need the right leadership capabilities, skills, and personalities. People are concerned that this would affect their bonus or that it would take their freedom and control away.”

Simplicity: The Way Forward?

The ding of the elevator arriving rang in Stutz’s ears. He stepped in, pushed the button, and felt the elevator rise. Was simplicity really the way forward? If the support from local markets disappeared, delivery would be jeopardized, and objectives would go unmet. “You can come up with the most convincing model, but you also need to convince the minds, and that is not something that happens overnight,” Stutz thought to himself. How could he bring people on board and convince them to embrace such a big bet in an industry that by definition was made of risk-adverse people?

He watched the elevator doors open. “Entschuldigung!” he said as he pushed his way past people. Should he perhaps take some time to further experiment—developing a single product for a single business line in a limited number of core markets at first? “If we make it work in our four biggest markets—Germany, France, Spain and Italy—then we would be 95% there,” de la Sota had rightfully argued. (See **Exhibit 11** for customer data in three of these markets.) “You should really make it an operating entity exercise, not a holding exercise,” Bäte, de la Sota and Raffard had emphasized in a previous meeting. His managers’ advice had been to move as fast as possible. As Raffard had put it, “If we don’t evolve to stay innovative and competitive, we will eventually lose out to our competitors.” Bäte added, “We need to strengthen the performance of Allianz to better serve customers, employees, and shareholders. Regardless of the route we choose to take, this will be a long journey.”

Stutz knew deep inside that simplicity would be a massive game changer for Allianz and that it could significantly boost the company’s position going forward. But he also faced crushing pressure. He was in the corporate spotlight, and this was a dangerous place for someone with such a new, unproven initiative. Was he mistaken? Would simplicity fail in a world where other insurers were prioritizing hyper-personalization? Was simplicity the right path to success?

Exhibit 1 Allianz Group Structure by Business Segments, as of 2017

Insurance	Property-Casualty	Life/Health
	- German-Speaking Countries and Central & Eastern Europe - Western & Southern Europe, Middle East, Africa, Asia Pacific - Iberia & Latin America - Global Insurance Lines & Anglo Markets - Allianz Partners	- German-Speaking Countries and Central & Eastern Europe - Western & Southern Europe, Middle East, Africa, Asia Pacific - Iberia & Latin America - USA - Global Insurance Lines & Anglo Markets
Wealth Management	Asset Management	Corporate and Other
	- Asset Management	- Holding & Treasury - Alternative Investments

Source: Company Documents.

Exhibit 2 Allianz's Worldwide Presence by Types of Insurances, as of 2017

Segmentation	Geography	Country	Types of Insurance
Western & Southern Europe, Middle East, Africa, Asia Pacific	Europe	Italy	Property-Casualty; Life-Health
		Greece	Property-Casualty; Life-Health
		Turkey	Property-Casualty; Life-Health
		France	Property-Casualty; Life-Health
		Belgium	Property-Casualty; Life-Health
		The Netherlands	Property-Casualty; Life-Health
	Middle East, North Africa & India	Luxembourg	Property-Casualty; Life-Health
		Egypt	Property-Casualty; Life-Health
		Lebanon	Property-Casualty; Life-Health
		Saudi Arabia	Property-Casualty; Life-Health
		Benin	Property-Casualty
		Burkina Faso	Property-Casualty; Life-Health
	Africa	Cameroon	Property-Casualty; Life-Health
		Central Africa	Property-Casualty
		Congo Brazzaville	Property-Casualty
		Ghana	Property-Casualty
		Ivory Coast	Property-Casualty; Life-Health
		Kenya	Property-Casualty; Life-Health
		Madagascar	Property-Casualty; Life-Health
		Mali	Property-Casualty
		Morocco	Property-Casualty
		Senegal	Property-Casualty; Life-Health
		Togo	Property-Casualty
	India	India	Property-Casualty; Life-Health
		China	Property-Casualty; Life-Health
		Hong Kong	Property-Casualty
		Indonesia	Property-Casualty; Life-Health
		Japan	Property-Casualty
Asia Pacific		Laos	Property-Casualty
		Malaysia	Property-Casualty; Life-Health

Segmentation	Geography	Country	Types of Insurance
Iberia and Latin America	Iberia	Pakistan	Life-Health
		Philippines	Life-Health
		Singapore	Property-Casualty
		Sri Lanka	Property-Casualty; Life-Health
		Taiwan	Life-Health
		Thailand	Property-Casualty; Life-Health
	Latin America	Spain	Property-Casualty; Life-Health
		Portugal	Property-Casualty; Life-Health
		Argentina	Property-Casualty
		Brazil	Property-Casualty
German Speaking Countries, Central & Eastern Europe	German Speaking Countries	Colombia	Property-Casualty; Life-Health
		Mexico	Property-Casualty; Life-Health
		Germany	Property-Casualty; Life-Health
		Austria	Property-Casualty; Life-Health
	Central & Eastern Europe	Switzerland	Property-Casualty; Life-Health
		Bulgaria	Property-Casualty; Life-Health
		Croatia	Property-Casualty; Life-Health
		Czech Republic	Property-Casualty; Life-Health
		Hungary	Property-Casualty; Life-Health
		Poland	Property-Casualty; Life-Health
U.S. Global Insurance Lines & Anglo Markets		Romania	Property-Casualty; Life-Health
		Slovakia	Property-Casualty; Life-Health
		Life/Health	
		United Kingdom	Property-Casualty
		Australia	Property-Casualty; Life-Health
		Ireland	Property-Casualty
		Allianz Global Corporate & Specialty	Property-Casualty
		Credit Insurance	Property-Casualty
		Reinsurance	Property-Casualty; Life-Health
		Russia	Property-Casualty; Life-Health
Allianz Partners		Ukraine	Property-Casualty
			Property-Casualty; Life-Health

Note: This overview was based on the Allianz organizational structure as of 31 December 2017. Property-Casualty business belonged to Allianz Global Corporate & Specialty.

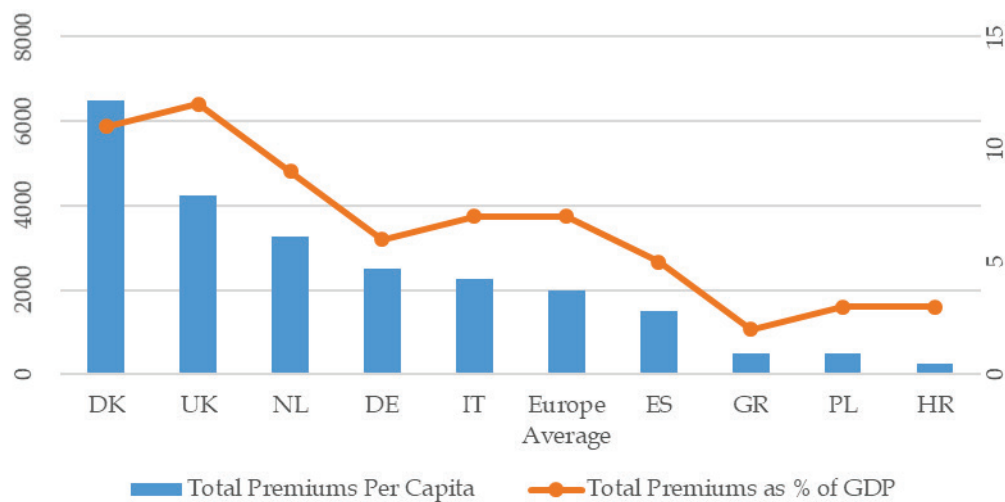
Source: Company Documents.

Exhibit 3 Allianz's Key Performance Indicators, Million Euros Unless Stated Otherwise, 2017

KPIs	Total	Property-Casualty	Life-Health
Total Revenues	126,146		
Gross premiums written		52,262	
Statutory premiums			67,277
Operating profit	11,097	5,083	4,412
Net income	7,207	3,807	2,968
# Total customers ^a	102,910,233	66,236,212	36,674,021

Note: a) Including non-consolidated entities with Allianz customers.

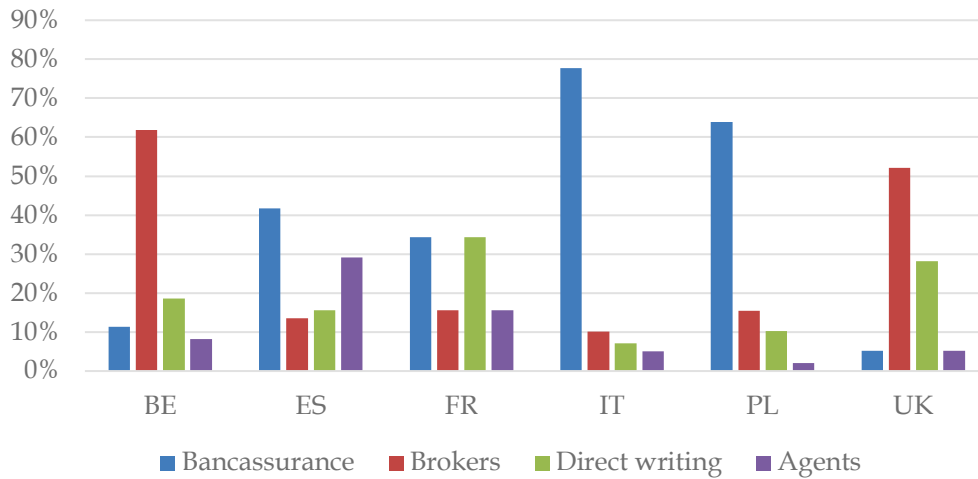
Source: Company Documents

Exhibit 4 Total Premiums by Country, 2017

Note: DK: Denmark; UK: United Kingdom; NL: The Netherlands; DE: Germany; IT: Italy; ES: Spain; GR: Greece; PL: Poland; HR: Croatia.

Source: Adapted from data in "European Insurance in Figures," Insurance Europe Website, 2017, p. 11-13-14-15, <https://www.insuranceeurope.eu/sites/default/files/attachments/European%20Insurance%20in%20Figures%20-%202017%20data.pdf>, accessed December 2020.

Exhibit 5 Insurance Distribution Channels in Europe (as a Percentage of Gross Written Premiums), for Non-life policies, 2016



Note: BE: Belgium; ES: Spain; FR: France; IT: Italy; PL: Poland; UK: United Kingdom.

Source: Adapted from data in "European Insurance in Figures," Insurance Europe Website, 2017, p. 49-50, <https://www.insuranceurope.eu/sites/default/files/attachments/European%20Insurance%20in%20Figures%20-%202017%20data.pdf>, accessed December 2020.

Exhibit 6 Top 15 European Companies by Net Results, 2017

Group	Headquarters	Net Results (€ million)	International Presence	Number of Customers
Allianz	Germany	7,207	70 countries	103 million
Axa	France	6,603	64 countries	>100 million
Zurich	Switzerland	2,934	210 countries & territories	N/A
Prudential	UK	2,728	>35 countries	57 million
Generali	Italy	2,295	60 countries	N/A
Aviva	UK	1,879	16 countries	33 million
CNP	France	1,623	16 countries	49 million
Crédit Agricole Assurances	France	1,356	7 countries	N/A
Talanx	Germany	1,270	150 countries	N/A
Mapfre	Spain	1,098	45 countries	29 million

Source: Compiled by Case Writers based on “2017 Ranking of The Largest European Insurance Groups,” MAPFRE, July 2018, https://documentacion.fundacionmapfre.org/documentacion/publico/i18n/catalogo_imagenes/grupo.cmd?path=1098395; Axa, 2017 Annual Report (Paris: Axa, 2017), p. 4, https://www-axa-com.cdn.axa-contento-118412.eu/www-axa-com%2Fa3fd87ca-ce10-4c5a-8eab-dccc54d315c8_axa-ddr2017-en-pdf-e-accessible_02.pdf; Generali, 2017 Annual Report (Trieste: Generali, 2017), p. 10-12, https://www.generali.com/doc/jcr:6ea81e3e-294e-48ed-9a41-3cb50d01bc1d/lang:en/Annual_Integrated_Report_2017_Generali_Group.pdf; Zurich Insurance, 2017 Annual Report (Zurich: Zurich Insurance, 2017), <https://annualreports.zurich.com/2017/en/annual-report/>; Prudential, 2017 Annual Report (London: Prudential, 2017), p. 11, <https://www.prudentialplc.com/~media/Files/P/Prudential-V3/reports/2017/prudential-plc-ar-2017.pdf>; Prudential Plc, “Prudential Fact File 2017,” Prudential Plc Website, 2017, <https://www.prudentialplc.com/~media/Files/P/Prudential-V3/content-pdf/fact-file-2017a.pdf>; Talanx, 2017 Annual Report (Hannover: Talanx, 2017), p. 22, https://www.talanx.com/en/investor_relations/reporting/financial_reports; CNP, “2017, l’essentiel,” CNP Website, 2017, https://www.cnp.fr/cnp/content/download/6145/file/Brochure_CNPAssurances_2017.pdf; Aviva Plc, 2017 Annual Report (London: Aviva, 2017), p. 8, https://www.aviva.com/content/dam/aviva-corporate/documents/investors/pdfs/reports/2017/Annual_Report_and_Accounts_2017.pdf; Groupe Crédit Agricole, “Crédit Agricole Assurances: Nous connaître,” Crédit Agricole Website, [https://www.groupecreditagricole.jobs/fr/nos-marques/credit-agricole-assurances/#:~:text=Nous%20sommes%20implant%C3%A9s%20dans%20des%20professionnels%20ou%20des%20entreprises](https://www.groupecreditagricole.jobs/fr/nos-marques/credit-agricole-assurances/#:~:text=Nous%20sommes%20implant%C3%A9s%20dans%20des%20professionnels%20ou%20des%20entreprises;); Mapfre, 2017 Annual Report (Majadahonda: Mapfre, 2017), p. 6-9, <https://www.mapfre.com/media/sustainability/2017/2-integrated-report-mapfre-2017.pdf>; all accessed January 2021.

Exhibit 7 Customer Metrics by Channel, as of 2018 (Data from Germany, Retail Customers)

	Agents	Brokers	Automotive	Bank- assurance	Aggregators	Proprietary Networks	Direct Internet	Others	Total
Gross written premium (Mill €)	4,209	1,008	481	251	97	73	38	139	6,296
% of total	66.9%	16.0%	7.6%	4.0%	1.5%	1.2%	0.6%	2.2%	
Total # customers ('000)	4,623	724	541	384	89	97	36	63	6,558
% of total	70.5%	11.0%	8.3%	5.9%	1.4%	1.5%	0.5%	1.0%	
Lost customers ('000)	353	236	136	30	4	6	2	3	771
New customers ('000)	235	200	103	22	5	3	2	5	574
Customer churn rate	7.4%	31.1%	23.7%	7.8%	4.6%	5.6%	4.8%	5.4%	11.4%

Note: The figures in this Exhibit were disguised by the casewriters to protect the confidentiality of the company.

Source: Company Documents.

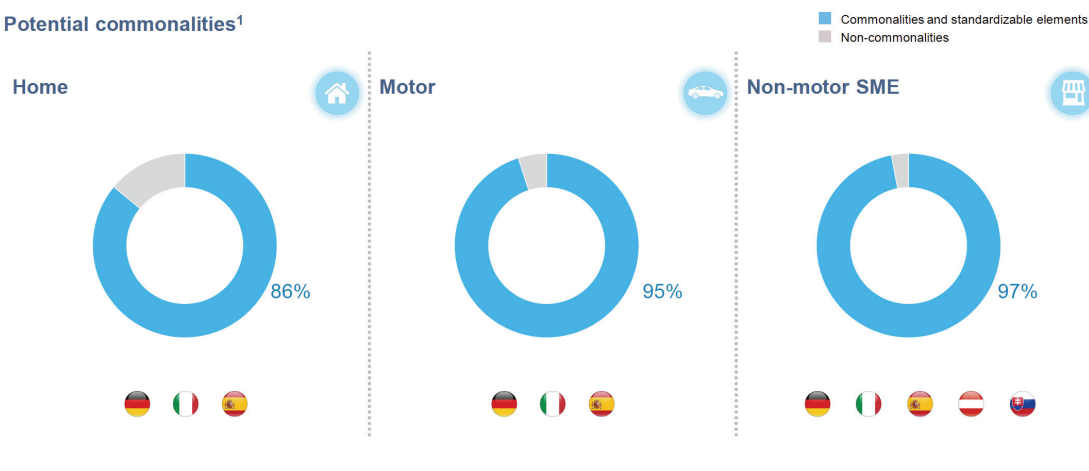
Exhibit 8 Customer Perceptions, as of 2018

“Which ONE thing bothers you most about insurance?”



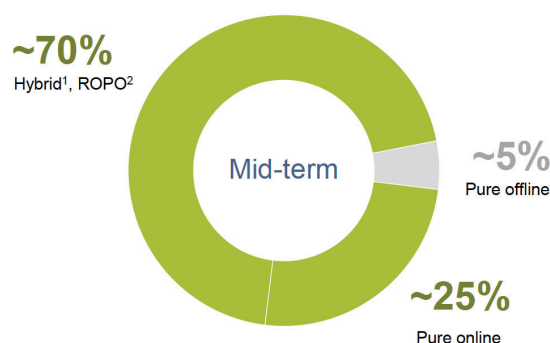
Note: Survey with 500 participants conducted in October 2018 in Germany.

Source: Company Documents.

Exhibit 9 Allianz's Products Across Markets, as of 2018**Products are already the same****Potential commonalities¹**

Note: Commonalities (e.g. technical components, covers or technical items) among at least two out of the three organizational entities (responsible three out of the five OEs for SME) that participated in mapping.

Source: Company Documents.

Exhibit 10 Insurance Purchase Behavior in Germany, as of 2018**Customers only one click away from buying insurance online****Share of customers by distribution approach (Germany)**

Note: 1) Hybrid referred to information online and/or offline, purchase online, but still preference for personal formats (e.g. for claims handling). 2) ROPO referred to research online, purchase offline.

Source: Company Documents.

Exhibit 11 Allianz's Customer Data in Selected Markets, as of 2018 (Retail Customers)

	Austria	Brazil	France	Italy	Poland	Spain
Gross written premium (in Mill €)	2,610	2,572	11,050	11,280	1,091	5,942
Total # customers ('000)	2,607	2,393	8,839	12,362	2,117	8,909
Total # policies ('000)	4,264	2,814	15,922	21,998	4,715	14,932
Lost customers ('000)	126	385	922	1,186	534	642
Lost policies ('000)	223	697	1,332	2,044	1,307	1,525
New customers ('000)	284	1,010	2,047	1,790	903	1,573
New policies ('000)	511	1,635	2,872	3,474	2,110	3,463
% Customers B2C	90%	89%	87%	90%	83%	
% Policies B2C	82%	81%	88%	86%	71%	
Customer churn rate	5.2%	21.8%	11.9%	10.1%	30.6%	8.1%
Policy churn rate	5.6%	37.1%	9.3%	9.9%	33.4%	11.7%
B2B - customer churn rate	5.0%	16.4%	7.7%	8.7%	20.5%	
B2B - policy churn rate	6.8%	43.8%	6.5%	11.0%	25.9%	
B2C - customer churn rate	4.9%	18.1%	11.1%	9.2%	23.9%	
B2C - policy churn rate	5.0%	22.7%	8.7%	8.7%	24.8%	
% GWP from Agent & Broker channels	98.1%	97.3%	93.5%	80.5%	43.2%	90.4%
% GWP from Internet channel	0.0%	0.0%	0.9%	5.8%	1.5%	0.4%
NPS	11%	78%	22%	48%	41%	64%
NPS relative to market	Above	Above	Average	Above	Average	Average

Note: The figures in this Exhibit were disguised by the casewriters to protect the confidentiality of the company.

Source: Company Documents

Endnotes

¹ Terry Gangcuangco, “Be wary to not thrust change upon the insurance industry,” *Insurance Business*, November 30, 2018, <https://www.insurancebusinessmag.com/uk/news/technology/be-wary-to-not-thrust-change-upon-the-insurance-industry-117633.aspx>, accessed December 2020.

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⁹ Daniel Schreiber, “Lemonade sets a new world record,” Lemonade Website, January 1, 2017, <https://www.lemonade.com/blog/lemonade-sets-new-world-record/>, accessed January 2021.